

RINGING IN THE CASH

► **MOST INDIAN PLAYERS IN THE WEARABLES MARKET HAVE BEEN PROFITABLE**

► **BUT, THEIR EBITDA MARGINS HAVE FLUCTUATED DUE TO VARIOUS SUPPLY CHAIN ISSUES**

	SALES			NET PROFIT/LOSS			EBITDA MARGIN		
	FY20	FY21	FY22	FY20	FY21	FY22	FY20	FY21	FY22
Imagine Marketing Ltd# (boAt)	700.44	1,523.43	3,342.39	48.86	89.65	68.75	11.2	8.8	4
Nexxbase Marketing Pvt. Ltd* (Noise)	155.55	372.70	792.79	18.40	32.89	35.50	16.12	12.66	7.27
Exotic Mile Pvt Ltd* (Boult Audio)	NA	NA	186.74	NA	NA	9.02	NA	NA	7.48
Palred Technologies Ltd# (pTron)	45.56	117	127.59	-4.66	2.51	-1.71	-7.88	5.39	1.44

SALES AND NET PROFIT/LOSS IN ₹ CRORE; EBITDA MARGIN IN PER CENT; *STANDALONE; #CONSOLIDATED
SOURCE PROWESS IQ, TOFLER, ACE EQUITY

106 | services) players are expanding their production lines to accommodate the rising demand, she adds.

FUTURE PLAY

India's smartwatch market grew 90 per cent year-on-year (YoY) in H1CY23, driven by affordability, rising customer demand and the availability of a wide variety of options. The True Wireless Stereo (TWS) segment also grew by 42 per cent, while the neckband market declined by 17 per cent in the same period. But the growth rate is soon expected to start flattening. Gupta of Boult explains that the sales of headphones has started stabilising, but they're still growing 40-50 per cent YoY. Smartwatches had also been growing at around 300 per cent, but that too is projected to stabilise to around 100 per cent, and further come down to around 50 per cent in FY25.

The trends are worrying as the plateauing sales might put a break on the strong run of these start-ups. But these brands are already exploring and investing in new categories, or entering new geographies. For instance, Boult is looking at smart wearables and IoT devices, and has entered the UK market as well. Meanwhile, boAt's Mehta says the company has already come up with a new wearable form factor, the Smart Ring—a next-gen wearable device made of premium materials and offering health monitoring,

smart tracking, with up to seven-day battery life, and priced at ₹8,999. Noise, too, has announced a similar product category. "As young India's pulse keeper, we understand the importance of driving new-age tech solutions and as a step towards sustaining our R&D efforts further... We've launched three innovative products in the past one year, Noise i1, Noise Intel-Buds and Luna Ring," says Khatri.

Separately, pTron is planning to expand its portfolio with sound bars and party speakers. Plus it plans to get into the gaming segment with headsets, keyboards, mice and other gaming accessories. "We have a very good manufacturing unit. We can scale this up and look at exporting as well. We can also do an OEM-ODM (original design manufacturer) business for brands in Europe and the US," says Khwaja.

But in the end, all the brands realise that keeping the customer at the centre of their strategy is the best way to ensure their good run continues. Says boAt's Mehta, "Whenever we launch a new product, Aman and I track the product and its reviews every two hours, even today. That is how obsessed we are about the customer and customer experience." No wonder, these brands are singing their way into Indian consumers' hearts. **BT**

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